

## Norges Bank hikes and keeps guidance hawkish

Norway's central bank surprised markets with a 25bp hike to 4.25% today, stressing that inflation concerns are broader than the war. We now think a hold is more likely in June, but risks remain on the hawkish side, with guidance still pointing to another potential rate increase by year-end. We remain bearish on EUR/NOK for the coming months



Norges Bank Governor  
Ida Wolden Bache

### A hike on broad inflation concerns

Norges Bank delivered an out-of-consensus 25bp hike to 4.25% today, [in line with our call](#). In the statement, Governor Ida Wolden Bache stressed that “inflation is too high, and there are prospects that inflation will remain elevated ahead”. During the press conference, she reiterated that the rate rise was not only due to the war's impact, again hinting at broader-based inflation pressures, with particular emphasis on elevated wage growth.

That said, there were also some indications that Norges Bank wants to take time to assess the implications for underlying pricing pressures. The overall economic assessment was not materially different from March, when rate projections embedded an average quarterly policy rate of 4.07%

in 2Q and 4.26% in 3Q. In our view, a hold looks more likely at the June meeting unless underlying CPI surprises meaningfully on the upside.

## Another hike possible, but that's not our baseline for now

There were no updated rate or economic projections at this meeting, but guidance remained hawkish. The Bank indicated that the March forecasts remain valid, with the policy rate expected to end the year between the current 4.25% and 4.50%.

For now, our forecast doesn't include another rate hike in Norway. This reflects our expectation of relatively contained second-round effects on Norway's core inflation, as well as recent indications that the US and Iran may be getting closer to a deal. That said, this is not a high conviction call: underlying CPI had already shown volatility even before the war, and it is clear that Norges Bank will not hesitate to act.

At the time of writing, markets appear to be pricing in a June hike with some confidence. While some post announcement volatility may be distorting pricing, this still looks somewhat too hawkish for now. Underlying CPI may fail to rise already in April (data out next week), and Norges Bank may require a materially hot May print to justify a June hike. If rates are to be raised again, August looks more likely in our view.

## NOK outlook remains solid

NOK entered the meeting with some heavy short-term bearish momentum vs EUR, as yesterday's oil selloff seemed to have triggered some sizeable positioning unwinding. The surprise hike has caused a near 0.7% drop in EUR/NOK, with markets seemingly leaning hawkish for future meetings, expecting at least another rate hike this year.

The krone has been one of our favourite currencies of late, also due to our hawkish call on Norges Bank. While a potential reopening of the Strait of Hormuz may cause new oil drops and EUR/NOK bounces, we think it will take a long time for energy prices to return to pre-war levels, leaving NOK structurally more attractive than EUR. Especially so in an environment of strong global risk asset performance and a wide rate advantage for NOK.

We continue to expect a break below 10.80 in EUR/NOK by this summer, and downside risks relative to our year-end target of 10.70.

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## Hungary's economic momentum regains strength, but risks remain

The March data in Hungary brought positive vibes, with both industry and retail delivering upside surprises, even if several one off factors were also at play. As a result, while we may not be the loudest cheerleaders for Team Hungary, the improvement is real and the mood has clearly turned brighter



The Hungarian economy seems to have returned to a more favourable trajectory

The Hungarian Central Statistical Office has released March data on retail sales and industrial production, following the publication of first-quarter GDP growth. Even against this backdrop, the latest figures still managed to raise eyebrows – this time in a clearly positive way. While we argued a month ago that Hungary's positive economic momentum had faded, the March data suggests that February was more likely an outlier and that the economy has returned to a more favourable trajectory.

### Broad-based recovery in Hungarian industry in March

3.7%

## Industrial production (YoY, wda)

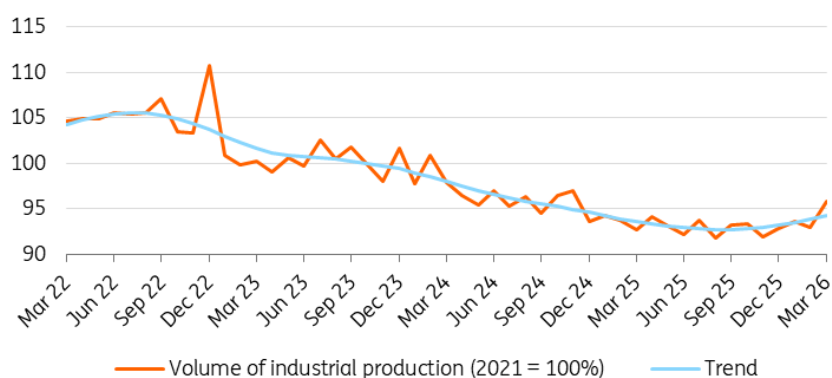
ING estimate: 2.9% / Previous: -1.5%

Better than expected

After a weak February, Hungarian industry found its footing again and managed to post meaningful growth in March. What's more, the latest data delivered one of the most positive surprises seen in recent years. The strong March performance had already been signalled by the first-quarter GDP release, in which the HCSO highlighted industry as a positive contributor to overall economic growth.

In numerical terms, industrial output increased sharply on a monthly basis at 3.1%, while the working-day-adjusted year-on-year index also jumped to 3.7%. As a result, three out of the past four months have now seen growth, which is clearly visible in the fixed-base index as well. Following the trough reached in November 2025, a more sustained upward trend appears to be emerging. That said, industrial output still remains 4.1% below its 2021 average level.

## Volume of industrial production

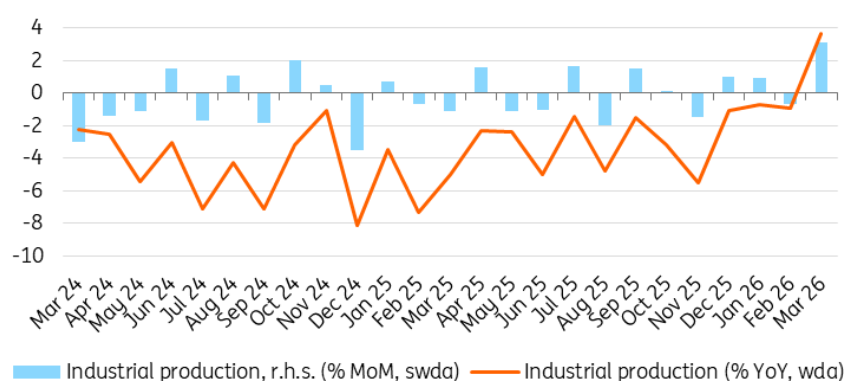


Source: HCSO, ING

How long this positive momentum can be maintained will depend largely on external factors, most notably developments related to the war in the Middle East, the risk of a prolonged blockade of the Strait of Hormuz, and the resulting shocks to energy markets and global supply chains.

As this was a preliminary release, the HCSO provided only limited details. Nevertheless, even the brief commentary points to an important development. Production increased on a year-on-year basis across the majority of manufacturing subsectors. One has to go back quite far in the industrial flash releases to find a similar statement. Crucially, all major-weight subsectors managed to expand.

## Performance of Hungarian industry

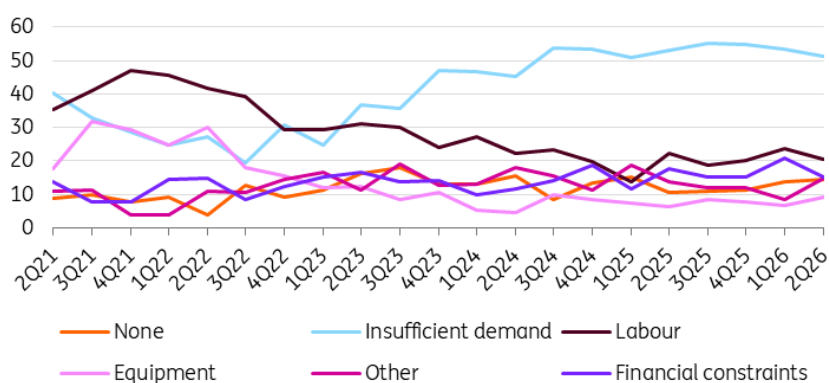


Source: HCSO, ING

Among these, electronics manufacturing once again stood out as a strong performer. This time, however, it was joined by the production of electrical equipment, the food industry and, to a lesser extent, vehicle manufacturing. In other words, the recovery was not driven by a single sector coming back online, but rather reflects a broadly improving trend across manufacturing.

This picture is also consistent with the latest business survey published at the end of April, according to which, capacity utilisation in Hungarian manufacturing rose to 76.9% in the second quarter (seasonally adjusted), its highest level since early 2023. Similarly encouraging is the fact that, over recent quarters, the share of companies citing insufficient demand as a constraint on growth has been gradually but steadily declining. However, we are not out of the woods yet, as roughly every second company still reports demand shortages, leaving ample room for further improvement.

## Factors limiting production in Hungarian industry (% of respondents)



Source: Eurostat, ING

Taking all this into account, and assuming that new export capacities coming on stream this year continue to ramp up as expected, there is room for cautious optimism regarding a more durable recovery. Under favourable conditions, the fixed-base index could exceed the monthly average



level of 2021 by the end of this year. As a result, Hungary's industrial output could grow by around 4–5% on average in 2026.

After three years of industrial recession, industry could once again make a positive contribution to the overall performance of the Hungarian economy – provided, of course, that these improving prospects are not derailed by a prolonged disruption in the Strait of Hormuz.

## A strong but partly one-off rebound in Hungarian retail sales in March

**8.2%** Volume of retail sales (YoY, wda)

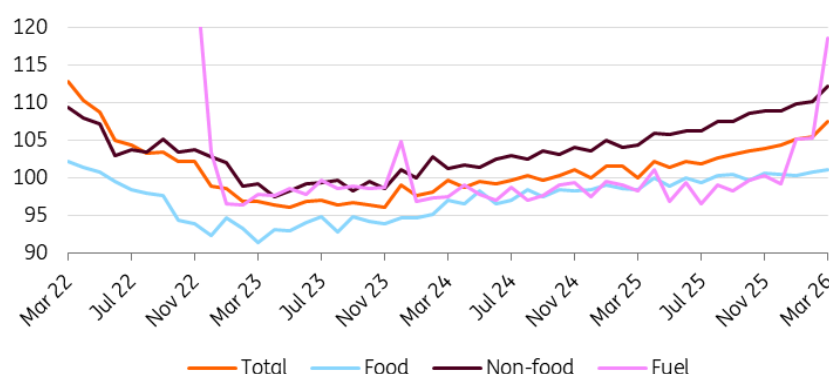
ING estimate: 4.8% / Previous: 3.8%

Better than expected

Just like industrial production, Hungarian retail sales also delivered a much stronger-than-expected performance in March 2026. Retail turnover rose by 1.9% on a month-on-month basis, marking the eighth consecutive month of expansion. In year-on-year terms, the calendar-adjusted increase of 8.2% points to a pace of growth not seen in quite some time.

Looking at longer-term trends, retail sales volumes in March were already 7.6% above their average monthly level in 2021. This suggests that the sector has been expanding on a sustained basis, with the upward trend in place since late 2023. At the same time, performance has gradually started to close in on the peak levels recorded in 2022.

### Retail sales volume in detail (2021 = 100%)



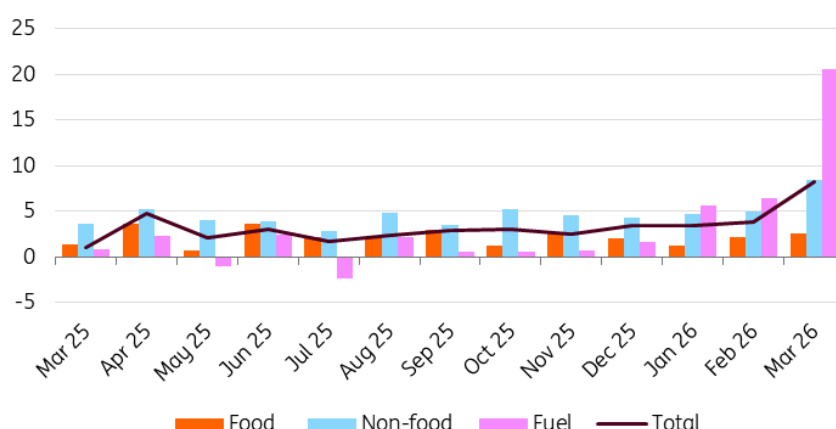
Source: HCSO, ING

A closer look at the breakdown reveals that food retail sales posted only modest growth on a monthly basis. The source of the strong March performance should therefore be sought elsewhere, namely in non-food retail categories. Activity in this segment increased markedly, with turnover showing a strong monthly expansion at 1.9%. Comparable single-month increases were last seen at the turn of 2023–2024.

Online and mail-order retail sales rose sharply, while stores selling IT equipment and other consumer durables also reported an exceptionally strong March. In addition, clothing retailers as well as furniture and electrical goods stores recorded significant increases in turnover. This clear split between food and non-food retail highlights the underlying driver of growth: government transfers paid out to households were largely channelled into consumption, primarily supporting higher-value purchases.

Fuel sales also increased strongly compared to the previous month, which may reflect the impact of regulated fuel prices. Taken together, the composition of growth points to the importance of specific, short-term factors in boosting retail activity in March.

## Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

In our view, therefore, the exceptionally strong performance of Hungarian retail sales in March was driven primarily by one-off, temporary effects. As a result, we remain cautious regarding the sustainability of this pace of growth. That said, improving consumer confidence, the still favourable inflation environment and robust wage growth could collectively provide a more durable underpinning for retail sales going forward.

Looking at 2026 as a whole, retail turnover could expand by around 6.0–6.5%, even if monthly dynamics moderate from the March peak. These developments reinforce the idea that consumption is likely to be the main driver of economic growth this year, while the key question for the remainder of 2026 remains whether industry, exports and investment can also move onto a more sustainable recovery path.

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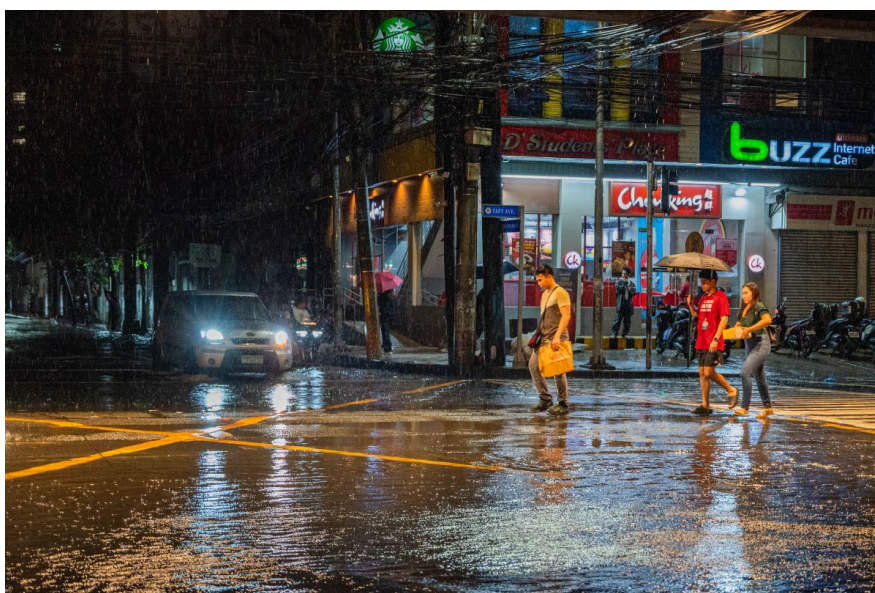
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# First-quarter GDP miss in the Philippines signals weaker 2026 outlook

First-quarter GDP growth fell well short of expectations, weighed down by weak consumption, contracting investment, and a drag from net exports despite a modest pickup in government spending. The data reinforce downside risks to the 2026 growth outlook, even as the central bank remains focused on inflation rather than growth support



With first-quarter GDP falling short in the Philippines, policy tightening is likely to continue

## 1Q GDP misses estimates

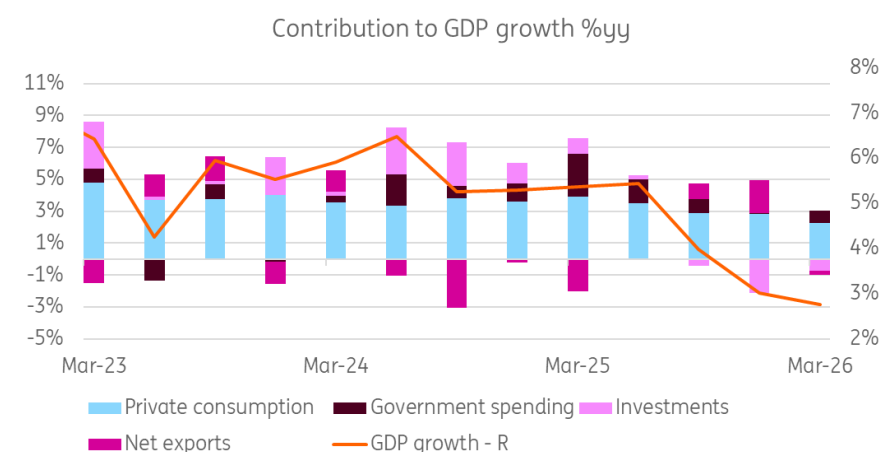
First-quarter GDP growth of 2.8% year-on-year was a significant disappointment, coming in well below both our forecast and consensus expectations of 3.3% year-on-year. Domestic demand remained weak. Private consumption growth slowed to 3% year-on-year, representing not only a further decline relative to the previous quarter, but also the weakest reading since the Covid period. Even at this subdued pace, private consumption accounted for roughly 80% of total GDP growth, underscoring how significantly weaker other growth components were.

Private investment continued to contract on a year-on-year basis, while net exports also shifted to a negative contribution. Goods import growth accelerated to around 7% year-on-year, while goods export growth moderated to 13% year-on-year, resulting in a net drag on growth. Services exports, growing at 3% year-on-year, remained relatively resilient.

Government spending increased by 4.8% year-on-year, up sharply from 0.7% in the previous quarter, contributing 0.8 percentage points to GDP growth. While this points to some nascent signs of recovery, the overall impulse remains modest. Overall, we believe government spending will need to increase more meaningfully for second-round effects on consumption and investment to materialise. Recent data suggests that rising unemployment and sharply elevated inflationary pressures are likely to keep private consumption suppressed, as households boost precautionary savings.

Taken together, today's GDP release points to a much weaker-than-expected growth trajectory for 2026, increasing the downside risks to our already below-consensus GDP growth forecast of 4.5% YoY (consensus 4.8%). We do not believe this weak GDP print will deter the BSP from proceeding with a rate hike in June. The central bank has recently reasserted inflation control as its primary objective, while downplaying the role of monetary policy in cushioning near-term growth risks – particularly as the current slowdown appears largely driven by a deceleration in government spending rather than monetary conditions.

## Contribution to Philippines GDP growth



Source: CEIC

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## FX Daily: Testing the 'this is it' trade

Optimism about a US-Iran deal, including a reopening of Hormuz, has risen significantly since the start of the week. The dollar has further to fall if a deal is eventually agreed. Elsewhere, GBP faces downside risks from today's UK local elections, and we expect a rare hold in Sweden and an out-of-consensus 25bp hike in Norway this morning



GBP faces downside risks from today's UK local elections

### 📉 USD: More volatility ahead

It's been a hectic 24 hours for markets. The risk on trade driven by Gulf de escalation triggered a sizeable dollar sell off and rallies in EM currencies yesterday morning, before a partial pullback in the afternoon. Volatility in FX should remain elevated into early next week as markets await the final word on a US Iran deal. Should negotiations drag on without tangible progress, we would expect the USD to reclaim recent losses, even in the absence of any military re escalation.

This morning, FX is showing signs of stabilisation, but higher equities continue to point to optimism around further de escalation. This is reinforced by growing speculation that President Trump wants to wrap up a deal with Iran ahead of the 14-15 summit with Chinese President Xi Jinping. The latest reports suggest Iran is reviewing the US proposal to reopen the Strait of Hormuz, with nuclear talks pushed to a later stage. Trump has again warned of new attacks if a deal is not agreed, but has sounded broadly optimistic and said the war could end within a week. Oil prices are hovering just above \$100/bbl and remain highly volatile.

We have been stressing the increasing relevance of equity markets for dollar crosses, and this remains crucial. For some G10 pairs, including EUR/USD, global equities currently exhibit a higher beta than oil prices. Any major further leg lower in the USD still requires a strong equity session, regardless of oil moves. The strength in risk assets and more balanced positioning suggest that DXY can easily fall back below the 97.50 pre war levels, even if oil prices settle significantly above February levels.

*Francesco Pesole*

## 📈 EUR: Eyeing return above 1.180 if deal agreed

The euro performed well against other G10 European currencies yesterday, as markets more convincingly priced out the oil related risk premium. ECB pricing for December dropped by 15bp on the day, but remains relatively aggressive at 60bp. Another round of de escalation could push pricing lower, although there may still be decent support around 50bp for now. Notably, a June hike is no longer a done deal for markets, with pricing down to 16bp. This may reflect some growing speculation that a peace deal would give the ECB more time to assess the inflation implications of the energy shock.

Yesterday's EUR/USD intraday peak came very close to 1.1800, which to us suggests that, should a US Iran deal be finalised in the coming days, a break above 1.1800 would be on the cards. Equity markets would still do most of the heavy lifting in driving EUR/USD, even if short term rate differentials were to re widen in favour of the USD.

*Francesco Pesole*

## ➡ GBP: Downside risks from local elections

The UK holds local elections today ([our full preview here](#)), and here's what to watch from a market perspective.

First is the performance of the ruling Labour Party, which is expected to lose a large share of its council seats. Prime Minister Keir Starmer is facing a popularity crisis, alongside growing speculation around a potential leadership challenge. The pound and gilts have reacted negatively in the past to any risk of Starmer's exit (and, by extension, that of Chancellor Rachel Reeves), given markets' association of the current leadership with a degree of fiscal rigour.

Second is the showing of opposition parties. Right wing Reform UK is widely expected to perform well in these elections, but it would probably be a strong result for the left wing Greens that would attract the most market attention. Such an outcome could fuel speculation that Labour may shift towards a more left leaning leadership, potentially reviving concerns around fiscal sustainability.

The key point is that the pound and gilts are currently embedding no visible political risk premium. This leaves scope for potentially significant downside risks, and given the more positive response of the euro to de escalation headlines yesterday, we still see room for EUR/GBP to rally. A move above 0.870 remains our baseline over the coming weeks.

*Francesco Pesole*



## 📈 Nordics FX: Hold in Sweden, hike in Norway

Rate announcements are scheduled for 08.30 and 09.00 BST in Sweden and Norway, respectively, this morning. We expect the Riksbank to hold rates at 1.75% and Norges Bank to hike by 25bp to 4.25%.

The Riksbank call ([preview here](#)) fully matches consensus and pricing. Yesterday's 0.8% CPIF print for April suggests the starting point remains very low for inflation in Sweden. The exposure to higher energy prices is also much smaller relative to the eurozone and VAT cuts will offset some spikes.

We were expecting a hawkish tilt in the message, but the latest encouraging news from the Gulf suggests they are more likely to stick to a neutral, wait-and-see approach. Pricing has turned more dovish in the past couple of days and we expect a neutral impact on EUR/SEK, even if our bias remains bearish on the pair.

We are expecting an out-of-consensus 25bp hike in Norway ([preview here](#)). We made that call last week before the latest Gulf news, which has shifted the risks a bit to the dovish side. However, we read last meeting's minutes as a sign that inflation concerns are broad-based, not only war-related, and also a sense of urgency that we suspect markets are underestimating.

Surely, the latest oil drop suggests a lower risk they will keep the door open for more just yet, perhaps delivering a similar hike to the RBA earlier this week. We still favour EUR/NOK downside despite yesterday's positioning squeeze on the oil move. Markets are pricing in 13bp for today, and around 60bp by September. A hike today without hawkish guidance would probably limit how far NOK can rally in the near term. Yesterday, the oil drop probably triggered a meaningful positioning squeeze in NOK, with EUR/NOK rallying above 10.90. Still, we expect a return to 10.80 in the coming months as oil prices should land well above pre-war levels whilst NOK absorbs the strong risk environment in a de-escalation.

*Francesco Pesole*

## ➡ CEE: Central banks battling hawkish markets

Today we have two central bank meetings in the CEE region – the National Bank of Poland and the Czech National Bank. In both cases, we expect rates to remain unchanged at 3.75% and 3.50%, in line with expectations, and in both cases, the focus will be on forward guidance, where central banks are trying to avoid rate hikes amid the current energy shock. In both cases, however, core inflation was pushed up in April and policymakers cannot ignore rising headline inflation just because of rising fuel prices.

Yesterday's NBP statement did not say much, but we think there will be a [slightly more hawkish tone from Governor Adam Glapinski](#) today compared to the April meeting. In addition to forward guidance, the CNB will also publish a new forecast that will, without surprise, bring lower economic growth and higher inflation compared to the February forecast. However, the inflation profile should still be within the tolerance band, which [Governor Ales Michl will probably use as an argument for wait-and-see.](#)

Our economists expect rates to remain unchanged for an extended period in both countries. However, the current situation puts inflation profiles under test, especially core inflation, which



rose in both countries in April, and a potential ECB rate hike will keep market pricing hawkish. After yesterday's global relief, the market is pricing in roughly three hikes in the one-year horizon in the Czech Republic and a few bps less in Poland. Today's meetings, together with yesterday's positive sentiment, could again reduce hike bets a bit. Still, we do not expect the market to take back all pricing given the unclear inflation development even if the US-Iran conflict ends today.

The Polish zloty and the Czech koruna saw some rally yesterday as part of the global relief and almost returned to pre-conflict levels. Given the expected pressure on the current account and GDP growth in the region, we cannot expect to see more gains here. We therefore see upside for EUR/PLN and EUR/CZK from current levels if central banks surprise on the dovish side.

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## The Commodities Feed: US-Iran peace deal hopes

Energy markets sold off sharply on Wednesday on de-escalation hopes in the Middle East. Prices later stabilised, but volatility remains elevated



Oil prices steadied this morning at around \$100 a barrel

### Energy – Oil and gas plunge

Oil and gas prices fell sharply on Wednesday as Iran considered a new US proposal to end the conflict, raising hopes that flows through the Strait of Hormuz could gradually resume. Brent dropped below \$100/bbl to trade at \$96 a barrel at one point, and European gas also slumped as the market priced in a lower risk of prolonged disruption to Middle Eastern energy flows. But oil prices steadied Thursday morning around \$100 a barrel, after losing almost 8% in the previous session.

The US proposal is understood to include a one-page memorandum that would, if accepted by Iran, lead to a gradual reopening of Hormuz and the lifting of US restrictions on access to Iranian ports. Iran is expected to respond through a mediator in the coming days, although no agreement has been reached and more detailed negotiations, including on Iran's nuclear programme, would still follow.

The sell-off partly unwinds the conflict-driven rally in energy prices, but losses were pared as the market remains cautious. Crude inventories in the US continue to tighten, while buyers have become more reliant on US barrels to offset disrupted Middle Eastern supply.

EIA data showed US commercial crude inventories fell by 2.3m barrels last week, smaller than the 8.1m-barrel draw reported by the API and slightly below market expectations of a 2.4m-barrel decline. The modest draw reflected a sharp fall in exports, which dropped by 1.7m b/d WoW after hitting a record high the previous week. Crude imports also declined, falling by 273k b/d to 5.5m b/d. Refinery utilisation edged higher, up 0.5pp WoW, with crude runs averaging around 16m b/d. Cushing inventories fell by 648k barrels.

Refined products also saw draws, with gasoline stocks down 2.5m barrels and distillate inventories lower by 1.3m barrels, supported by steady demand. However, elevated gasoline prices could weigh on consumption ahead, despite a modest uptick in the four week average of implied demand.

In OPEC production, preliminary data for April are emerging. Bloomberg's OPEC survey shows group output fell by 420k b/d MoM to 20.55m b/d, the lowest since 1990. The decline was led by Kuwait (-470k b/d) and Iran (-180k b/d), following a sharp contraction in March. The reductions reflect ongoing war related disruptions and constrained exports through the Strait of Hormuz. The UAE, which exited OPEC effective 1 May, is still included in the April figures.

Meanwhile, US natural gas prices remained subdued, with Henry Hub hovering around \$2.7/MMBtu on Thursday morning. Sentiment continues to be weighed down by weaker LNG feedgas flows and storage levels well above the five year average. Hopes for a US-Iran agreement have added to the pressure. The market expects the EIA to report a storage build of around 72Bcf in the latest weekly data.

Energy markets are likely to remain headline-driven. A deal that restores traffic through Hormuz would reduce the supply-risk premium, but any delay or setback in talks could quickly put upward pressure back on oil and gas prices.

## Metals – Rally on peace hopes

Industrial metals rallied during Wednesday's trading session as signs of progress towards a US-Iran deal improved risk appetite and eased fears of a broader energy shock. However, prices pared back gains Thursday morning as the market awaits Iran's reply to the US proposal.

The move reflects reduced concern that higher energy prices will weigh on global manufacturing activity. However, supply risks have not fully disappeared. Traffic through the Strait of Hormuz remains disrupted, while Middle East-related supply issues continue to affect parts of the metals chain, including aluminium flows and sulphuric acid availability for copper production.

Copper is likely to stay driven by the balance between geopolitical headlines and underlying demand concerns. A sustained de-escalation would support risk appetite and ease cost pressures, but any renewed disruption around Hormuz would keep supply risks in focus.

Gold and silver also rallied as hopes of a US-Iran deal pushed oil prices lower and eased inflation concerns. Lower energy prices weighed on yields, while the dollar stayed around pre-war levels, supporting non-yielding assets.

Gold jumped 3%, climbing back above \$4,700/oz, reversing part of its recent war-driven weakness. The potential easing in energy prices gives the Fed more room to cut rates, which is positive for gold. Silver outperformed, supported by lower yields and stronger risk appetite.

Precious metals will remain sensitive to US-Iran headlines, oil prices and Fed rate expectations. A sustained fall in energy prices would keep gold and silver supported, while any setback in talks could reverse part of the move.

## Agriculture – Sugar prices fall as weaker oil drags on ethanol demand

Sugar prices dropped sharply, with No.11 raw sugar down around 6% intraday, tracking softer crude oil prices. The pullback in oil, driven by easing US-Iran tensions, has weakened ethanol margins, increasing the likelihood that mills divert more cane towards sugar production. Sentiment was also weighed down by softer Chinese demand, with raw sugar imports expected to fall to below 3.5mt in 2026, down from around 5mt last year, reflecting higher domestic output and stable consumption.

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## Rates Spark: Feels quite digital this time

There's a lot of optimism about a deal to be struck between the US and Iran. We're fine with that. But we are also cognisant that there is a polar opposite outcome that could still see us dipping back into a troubling direction, mostly as we've been down this route a few times now. Market rates took a breather lower on Wednesday. Expect an edge higher ahead



Lower oil prices pushed down euro rates

### Another day of waiting is likely through Thursday, and then we have an end game of sorts

Another waiting game was initiated on Wednesday by the US. Apparently it's for "48 hours". So we'll be none the wiser as we progress through Thursday. The immediate soundings are remarkably positive, despite the lack of details. Given what we can scrape and glean, the nuts and bolts of the framework for an agreement sound similar to the type of deal that had been under discussion in Pakistan through 11/12 April. Back then, by all accounts, there was a uranium enrichment ban bid/offer stretching from 5 years (Iran preference) to 20 years (US preference). But, US Vice President Vance walked away without an agreement.

Subsequent weeks helped explain why. The soundings out of Iran had shown a contentious "no" to

a ban on enrichment. And to boot, an ambition to maintain a degree of "monitoring control" over the Strait of Hormuz, post the war, or at least as part of a future agreement. Accepted there is absolutely some hard bargaining going on here. But there is also a sense of unease that Iran genuinely has these two hard lines that it is not willing to cross. If so, and we don't have an agreement, the risk could increase to a kinetic re-kindling. The US does not want to go there. The "Epic Fury" is apparently over. But something must give.

The market is betting on an agreement, mostly as a continuation of the war is not a stable outcome, and does not really suit either side. It may well be that other players impact the outcome. Last week an Iranian delegation met the Russians, who no doubt said keep up the good work. This week there is a meeting with the Chinese, and the soundings from there are likely along the lines that this needs to end. While the Chinese will not mind the bind that the US has found itself in, they, at the same time, will see a de-escalation as an outcome that they and their global southern allies need to see at this juncture. This indeed could swing the outcome.

From the perspective of the US, such is the preference for a deal to get done, that the risk is for it to be a poor deal. The markets won't mind, as the markets just want to see the Strait of Hormuz reopened and unhindered ahead. But the quality of the deal does absolutely matter for the US. Therein lies the risk of something even worse; a bad outcome on Friday – no deal. We're not calling for it. But we're not as comfortable as the market currently is. From a US rates perspective, we'd not be surprised to see a re-ratchet higher as we negotiate this uncomfortable vacuum through to Friday.

## **Renewed hopes for a path to open the Strait sparks Euro rates rally**

Eurozone rates are still tied to oil prices in an almost linear fashion, with the front end most sensitive. This pushed 2y rates down by more than 10bp on Wednesday. The market is back to 'only' discounting 60bp of ECB tightening by the end of the year. Monday had still seen more than three hikes priced in. 10y rates still dipped by almost 7bp and the 10y Bund yield is back below the 3% threshold.

With broader risk markets still well-supported and equity markets in the US even marching on to new all-time highs, it appears that EUR long end rates can still gloss over some of the deteriorating macro data of late. This helps to keep the bull steepening/bear flattening dynamic of curves alongside swings in oil prices in place, with inflation still the primary concern.

## **Gilts to face renewed political uncertainty, but fiscal path unlikely to change**

So far, gilt yields have not shown any signs of stress leading into the local UK elections on 7 May, but renewed political uncertainty could add to the upward pressure on sterling rates. A poor result for the Labour Party could, in theory, trigger a challenge to Starmer's leadership. This could, in turn, bring back a political risk premium.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing. We,



however, think a leadership change [won't materially alter](#) the fiscal or Bank of England outlook.

## Thursday's events and market view

Headlines around a potential Iran deal will keep markets on their toes. Elsewhere, the UK will hold local elections which can determine the fate of PM Starmer.

In terms of data, the focus remains on the US jobs market. Ahead of Friday's official jobs report, Thursday sees the releases of the Challenger job cuts data for April, weekly jobless claims numbers and consumer credit data for March.

There will also be a busy slate of central bank speakers. From the ECB Kocher, Villeroy and Schnabel will speak, while the BoE will field Lombardelli and Mann. We will also hear from the Fed's Kashkari, Hammack and Williams.

In the primary government bond markets, Spain will auction 3y 10y and 20y bonds as well as linkers for a total of up to €6.75bn. France auctions 10y, 15y, 20y and 30y bonds for up to €13.5bn.

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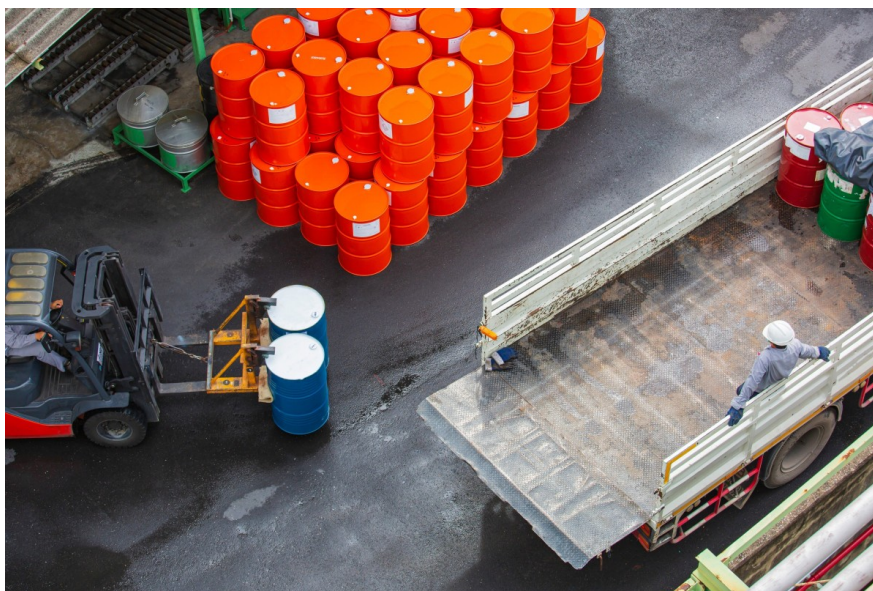
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## FX Daily: Remarkable resilience of risk assets

Investors have jumped on the news of 'great progress' in US-Iran negotiations, buying risk assets and selling the dollar. This is a far cry from the view that the oil market was close to a 'tipping point' which could trigger a non-linear spike in crude. It is too early to sound the all-clear in this crisis, but the USD can explore the downside



The prospect of a permanent peace deal between the US and Iran remains highly uncertain, and oil looks set to remain very volatile

### ⬇️ USD: Risk on, dollar off

It seems equity investors are still looking to put money to work and are jumping on positive-sounding news from the Gulf. The reaction to the pause of 'Project Freedom' looks a little overblown, though attention is also turning to Iran's recent shuttle diplomacy, with its foreign minister visiting Russia and China in recent days. The bullish view here is that President Trump wants a deal before visiting President Xi on 14-15 May, and China may be bringing pressure to bear on Iran.

The prospect of a permanent peace deal remains highly uncertain, however, and oil looks set to remain very volatile. Here, the focus in energy markets is whether a tipping point is reached over the next month. The story would be whether [oil inventories are drawn down so much](#) that a bidding war erupts for the ever-scarcer supply. This could lead to a non-linear jump in oil prices.

Given the inventory story is going to gain greater attention now, the focus today will be on the 1630CET release of the US EIA weekly oil inventory numbers. A 2.4m barrel drawdown is expected after a 6.2m fall last week. Any much higher drawdown than expected could send oil sharply higher again.

Yet this window of optimism on a peace deal has allowed money to flow back into equities – driven by the underlying conviction that the tech sector AI buildout will endure. Overnight, Asian equities performed very well. The standout has been Korea's Kospi, where news of greater foreign access to local equity markets has powered the Kospi to a 7% gain and lifted the beleaguered won. Chinese equities have also been doing well, and some better April PMI numbers are helping to drive USD/CNY to the lows of the year, near 6.81. This better EM environment is typically a dollar negative, as it was in January and February when EM was witnessing heavy portfolio inflows. Looking at ETF flows data, it seems that investors have paused and not reversed their inflows into EM since the Gulf crisis erupted – potentially showing a conviction call.

Add in what could have been another round of Bank of Japan dollar selling in early Europe and the dollar opens offered. Whether it falls much further today depends on the path of oil (headlines and inventory data) plus the release of the monthly US ADP jobs data. A healthy +120k gain is expected in April. Any big miss could weigh on the dollar.

Given the uncertainty in the Gulf, it looks dangerous to be chasing the dollar a lot lower from current levels and range support at 97.65/75 in DXY may hold again. Yet we have to acknowledge the enduring pro-risk/\$ negative undercurrent.

*Chris Turner*

## ➔ EUR: The euro has been underperforming

Looking at the performance of the euro on the crosses, e.g. EUR/GBP and EUR/CHF, one could argue that the euro has been a relative underperformer. Here, the eurozone economic data has surprised negatively on the downside for the last two months as higher energy prices have weighed. Nonetheless, EUR/USD is getting a slight bid from the pro-risk mood in the market and the conviction view that the ECB will deliver a precautionary rate hike in June. Given very elevated inflation expectations – e.g. 3.03% derived from the two-year inflation swap – the euro will need to see the ECB follow through with that hike. Failure to do so and a decline in real interest rates would hurt the euro.

Away from the Gulf and energy markets, the focus today will be on the ECB's wage tracker and the April PPI data. The last release for the former had wages expected to grow at 2.6% in 4Q 2026. Any increase here could prove euro-positive in that it would give the ECB more cause to hike.

We are not convinced EUR/USD needs to trade up to and above 1.18 just yet and would not completely rule out EUR/USD finding its way back to 1.1700 again.

*Chris Turner*

## ➔ GBP: The sterling conundrum

There has been much attention on the UK Gilt market this week, where Gilt yields have traded up to multi-year highs ahead of local elections on Thursday. Our rates strategy team [has some doubts](#) that the Gilt sell-off is being driven by the local election story, given that the UK swap

spread (Gilt yields versus GBP swaps) has been relatively stable. That could explain why sterling has been doing so well even as Gilts sell off.

If that is the case, then both Gilts and sterling do face some downside risks if Thursday's UK local election prompts a serious challenge to the current leadership of the UK Labour Party.

EUR/GBP has good support down at 0.8600/8610, which we expect to hold.

*Chris Turner*

## **BRL: One of our EM favourites**

As above, it seems like investors have an enduring demand for risk and some exposure to emerging markets. Latam as a region is seen as an **outperformer**, especially those with some independent access to energy. Here, Brazil is a net energy exporter and its terms of trade have risen sharply since the outbreak of hostility in the Middle East. Brazilian equity markets have been flying this year and with the local central bank expected to cut rates 100bp this year, local currency bonds could do well if conditions calm down.

USD/BRL has broken clear of 5.00 now. With implied yields in excess of 13%, we would expect the BRL to remain at the forefront of interest in emerging markets. The key threat is probably a political one should President Lula consider unfunded fiscal giveaways ahead of the October elections. However, investors look happy to bear that risk and USD/BRL losses could extend into the 4.80/85 area should the path to peace in the Middle East become any clearer.

*Chris Turner*

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# The Commodities Feed: Trump's 'Project Freedom' pause weighs on oil prices

The oil market has come under renewed pressure as the US-Iran ceasefire appears to still be holding despite a recent flare-up in tensions



## Energy - Saudis cut oil prices

Oil prices are under renewed pressure as the ceasefire between the US and Iran appears to be holding despite recent escalation in the Persian Gulf. Meanwhile, the market sold off further in early morning trading today after President Trump paused "Project Freedom" as the US seeks a deal to end the war with Iran. Trump said "great progress" has been made towards a "complete and final agreement". "Project Freedom" is Trump's plan to guide stranded commercial vessels in the Persian Gulf through the Strait of Hormuz. Its implementation led to a flare-up in tensions between the US and Iran. Looking ahead, developments in the Middle East will remain key to price direction.

A deal that normalises oil flows through the Strait of Hormuz is crucial. Roughly 13 mb/d of disrupted supply is being largely offset by inventory, which is clearly declining rapidly. This leaves the market more vulnerable with each passing day. Tighter stocks will only leave the oil market trading in an ever more volatile manner.



US oil inventory numbers from the American Petroleum Institute (API) show that crude oil inventories fell by 8.1m barrels over the last week. Gasoline and distillate stocks fell by 6.1m barrels and 4.6m barrels, respectively. The more widely followed Energy Information Administration (EIA) inventory data will be released today. Ahead of the release, US commercial crude oil inventories remain comfortable, at 459m barrels, slightly over 1% above the seasonal 5-year average. Yet this can change quickly, particularly if we continue to see record US crude oil exports.

US refined product stocks are a lot tighter heading into the release. US gasoline inventories stand at a little more than 222m barrels, down from 259m barrels in early February and at the lowest level for this time of year since 2014. Distillate stocks stand at a little under 104m barrels, the lowest level for this time of year since 2005. Tighter product markets should continue to see refined product cracks trading at elevated levels.

Saudi Arabia cut its official selling price for its flagship Arab Light to Asia for June. The OSP was cut from a record US\$19.50/bbl premium over the benchmark in May to US\$15.50/bbl. This is still the second-highest OSP on record. Crucially, this price assumes loadings from Ras Tanura, which sits in the Persian Gulf. This is clearly not happening. Instead, crude is being loaded at Yanbu on the Red Sea coast. As a result, final prices may be higher to reflect the logistical costs of shipping from the Red Sea.

## Metals – Geopolitical risks keep copper volatile

Copper edged higher as markets assessed whether the US-Iran ceasefire can hold. LME copper recovered on Tuesday afternoon from earlier losses in the session to trade back above \$13,000/t. It's supported by improved risk sentiment but capped by still-elevated exchange inventories, now close to the highest level since 2013.

The main risk for metals remains a prolonged closure of the Strait of Hormuz. That would lift energy costs, add inflation pressure and weigh on manufacturing demand, limiting upside for industrial metals. Copper is likely to stay headline-driven, with stronger physical demand or inventory drawdowns needed for a more sustained move higher.

In precious metals, gold rose as the US-Iran ceasefire appeared to hold. This is easing fears of a broader conflict while keeping some safe-haven demand intact.

A more durable truce would reduce energy-led inflation risks and lower the chance of further Federal Reserve tightening, which is supportive for non-yielding assets. For gold, the next driver will be the outlook for interest rates, with US Treasury borrowing plans and key economic data likely to shape expectations for Fed policy. The main downside risk is a stronger dollar or renewed Fed pushback on easing.

Meanwhile, World Gold Council data showed central banks turned net sellers of gold in March, with net sales of around 30t, although purchases in the first quarter still totalled 27t. Turkey led the selling, cutting holdings by 60t as part of efforts to support FX liquidity, taking its 1Q net sales to 79t. Buying remained concentrated, with Poland adding 11t in March and 31t year to date. China extended its buying streak to a seventeenth month, adding 5t. This points to a slower but still positive trend in official-sector demand, with reserve diversification remaining supportive for gold over the medium term.

## Agriculture – Cocoa rallies on supply concerns

London cocoa surged more than 15% yesterday, with prices breaking back above GBP3,000/t, as market attention turned to growing supply risks for the upcoming season. Early indications for the 2026/27 crop point to weaker than normal pod development, suggesting a slower start to the main harvest beginning in October. These concerns are reinforced by the potential for a return to stronger El Niño conditions. This could bring hotter and drier weather to key producing regions such as Ecuador and Indonesia, further threatening output.

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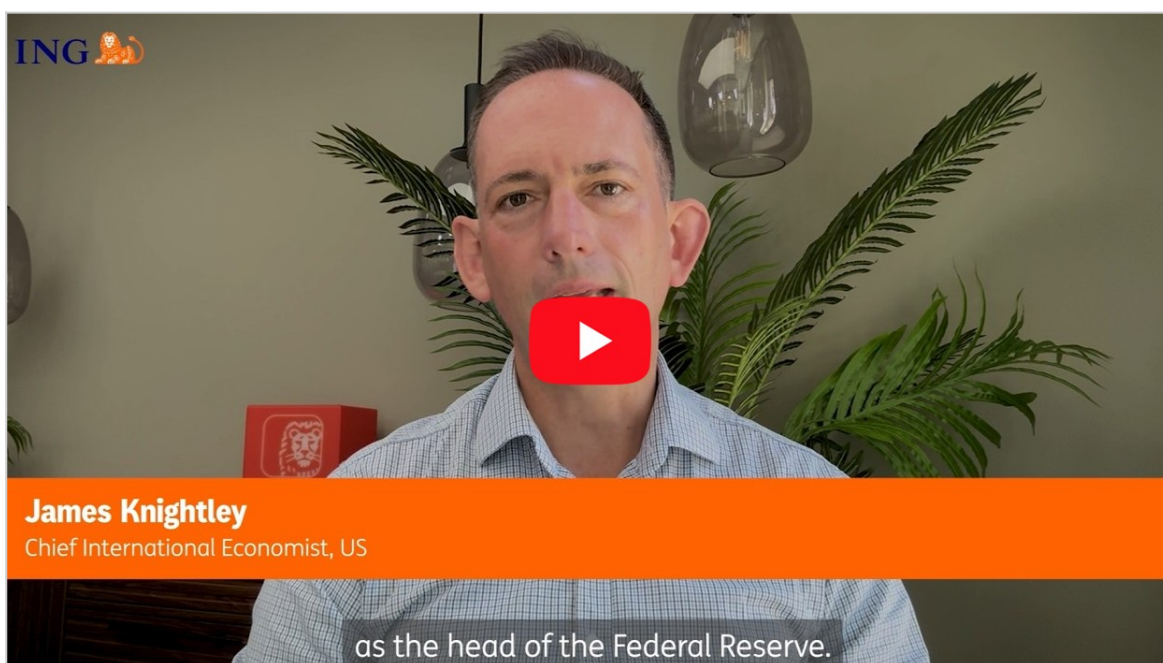
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## Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley



### How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

[Watch video](#)

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## ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer



At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

## Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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## Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook



UK Prime Minister Keir Starmer is in a fight for political survival

### Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

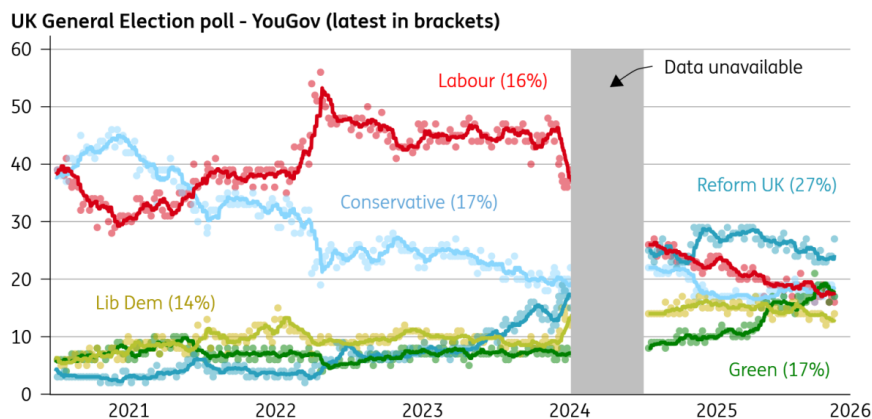
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some [predictions](#).

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

## The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

Solid line is the one month moving average

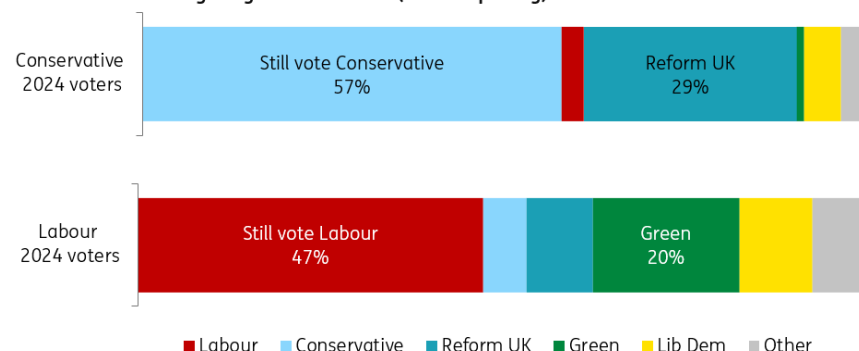
Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral Calculus in [January](#) and [April](#) of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

## 20% of Labour 2024 voters would now vote Green

Who 2024 voters say they'll vote for now (YouGov polling)



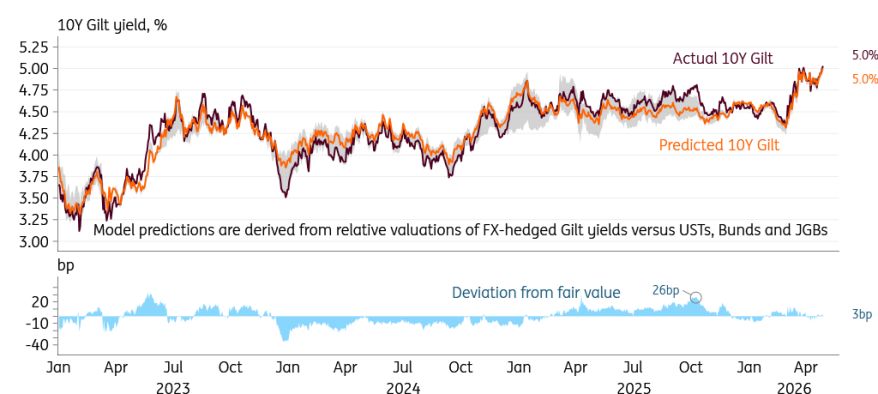
Source: YouGov

## How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

## There's virtually no risk premium in 10-year gilts



Source: ING, Macrobond

Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 “mini budget”, which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter

of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR [fails to account](#) for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A [recent speech](#) by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

## Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

## FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling

bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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